

INTERNATIONAL RELATIONS



ASSOCIATION OF SOUTH-EAST ASIAN NATIONS
(ASEAN) - 2

MODULE - 60

PRESENT RELATIONS BETWEEN INDIA AND ASEAN

- 1 India's search for an economic space led to a dynamic and action oriented 'Act East policy' from previous 'Look East policy' at the 12th ASEAN India Summit.
- 2 The 9th East Asia Summit formally enunciated the Act East policy. ARF is consistent with India's Look East policy
- 3 In 2012, the India-ASEAN relationship was upgraded to strategic partnership. India has set a separate mission to ASEAN and EAS in Jakarta in April 2015.
- 4 In 2017, India and ASEAN observed 25 years of their Dialogue Partnership, 15 years of Summit Level Interaction and 5 years of Strategic Partnership throughout 2017.



PRESENT RELATIONS BETWEEN INDIA AND ASEAN

- 5 The theme of the 25th Anniversary of the ASEAN-India Dialogue Relations, 2017 was 'Shared Values, Common Destiny'.
- 6 India-Myanmar-Thailand Highway and Kaladan Multi-modal Project could be extended to Laos and Cambodia. The aim is to provide for seamless movement of passenger, personnel and cargo vehicles along roads linking India, Myanmar and Thailand.
- 7 India wants to evolve a regional architecture with ASEAN based on the twin principles of shared security and shared prosperity.
- 8 It aims for deeper economic engagement with the dynamic ASEAN region through the 3C's of Commerce, Connectivity and Culture.



PRESENT RELATIONS BETWEEN INDIA AND ASEAN

- 9 New Delhi hosted the India-ASEAN Connectivity Summit in 2017 with the theme 'Powering Digital and Physical Linkages for Asia in the 21st Century'.
- 10 The focus was on infrastructure, roadways, shipping, digital finance, energy and aviation.
- 11 ASEAN promotes intergovernmental cooperation and facilitates economic integration.
- 12 The ASEAN-India in 2018, Indian Prime Minister and ASEAN leaders jointly adopted the Delhi Declaration and decided to identify cooperation in the maritime domain as the key area of cooperation under the ASEAN India strategic partnership.



SUCCESSFUL RELATIONSHIP

- 1 At the India-ASEAN Commemorative Summit of 2018, the heads of the 10 ASEAN countries attended the 69th Republic Day celebrations in India.
- 2 India-ASEAN trade and investment has increased making ASEAN 4th largest investment partner of India.
- 3 Alternate economic corridor based on multimodal connectivity such as Mekong India Economic Corridor can be useful to connect the Indian coast with the Southeast Asian Coast.



SUCCESSFUL RELATIONSHIP

4 In 2018, Prime Minister Modi participated in the ASEAN-India Breakfast Summit in Singapore and underlined the need for Maritime Cooperation and centrality of trade for the prosperity of the Indo-Pacific region.

5 He also held bilateral meetings with the leaders of Singapore, Australia and Thailand and discussed ways to strengthen ties in areas of trade, defence and security.



DELHI DECLARATION

- 1 The Delhi Declaration was declared signed between India and ASEAN spoke of maritime cooperation, stability, economic ties through connectivity; both physical and digital and implementation of Act East policy and joint fight against terrorism.
- 2 The declaration dealt with issues concerning both India and ASEAN like counter terrorism, radicalisation, cyber-security, maritime and air transport, S&T, food and energy security, education, culture, climate change, to name a few
- 3 Prime Minister Modi reiterated its commitment to UNCLOS and Rule of Law in the South China Sea.
- 4 The Delhi Declaration emphasises upon the centrality of institutions and mechanisms in all evolving Institutions and deliberations.



MULTIPLE AREAS OF COOPERATION

1 The 6th ASEAN-India Summit of 2007 announced the ASEAN-India Science and Technology Fund of \$1 million to promote research and development in Science and Technology.

2 Additionally, ASEAN-India Green Fund was established with an initial contribution of \$5 million from India for activities relating to climate change, energy efficiency, renewable energy and biodiversity.

3 Apart from ASEAN, India cooperates with ASEAN countries under BIMSTEC and MGC.

4 People-to-people contacts between India and ASEAN have increased with student exchanges, exchange of Parliamentarians and networking among think tanks.



INDIA AND INDONESIA AT THE 16TH ASEAN-INDIA SUMMIT

- 1** Prime Minister Modi visited Indonesia, Singapore and Malaysia on May 30th, 2018 to boost Act East Asia policy.
- 2** At the 16th ASEAN-India Summit, India and Indonesia held important bilateral meetings.
- 3** The two leaders also jointly unveiled a logo commemorating 70 years of diplomatic relations in 2019
- 4** The message with this visit to a country with world's largest Muslim population is multi-layered. India and Indonesia share common heritage and commitment of upholding democracy pluralism and diversity



INDIA-INDONESIA

STRATEGIC

- 1 India and Indonesia share the adoption of the “shared vision on maritime cooperation in the Indo-Pacific between India and Indonesia”.
- 2 The leaders committed to continue their partnership in the Indian Ocean Rim Association (IORA).
- 3 The leaders also signed the Defence Cooperation Agreement (DCA) and agreed to further enhance mutual trust through regular meetings and talks between armies, navies and air forces.



INDIA-INDONESIA

STRATEGIC

- 4 They held security dialogue to enhance cooperation in countering terrorism, terrorist financing, money laundering, arms smuggling and cyber-crime.
- 5 Indonesia is not formally a part of the India-US-Japan-Australia quadrilateral dialogue initiative but could become a serious dialogue partner.
- 6 Indonesian president Widodo, proposed a plan to promote a 'Global Maritime Fulcrum', which includes a commitment to Indo-Pacific sea lanes in order to balance China's ambitious Belt and Road Initiative (BRI).



INDIA-INDONESIA

ECONOMIC

- 1 Economically, both India and Indonesia are two of the fastest growing economies in the region.
- 2 India is Indonesia's largest trading partner among South Asian countries and fourth biggest trading partner in the world.
- 3 Bilateral trade reached \$18.13 billion last year, up 22.34 % from 2016. India was the sixteenth biggest foreign investor in Indonesia.
- 4 Both countries aim to grow two-way trade to \$50 billion by 2025, while two-way investment is expected to hit \$50 billion.



INDIA-INDONESIA

TRADE & INVESTMENTS

- 1 India and Indonesia agreed to work for the conclusion of the Regional Comprehensive Economic Partnership.
- 2 The two sides also look forward to the conclusion of ASEAN- India Maritime Transport Corporation agreement.
- 3 Indonesian President agreed to increase the Indian investment in Indonesia as well as the 'Make in India' initiative.
- 4 The leaders welcome the establishment of direct flights between Bali and Mumbai and emphasise the urgency of establishing more flight connectivity.



INDIA-INDONESIA

CULTURAL

- 1 As part of the soft power diplomacy, Prime Minister Modi emphasised on the historical and cultural ties between India and Indonesia
- 2 The Gujarat-Bali connect was visible through both leaders kite flying.
- 3 He visited the historic Hindu Prambanan temple and the ninth century Buddhist temple in Borobudur.
- 4 While the religious connect between India and Indonesia was highlighted, the major attraction was the Ramayan connect adding to Prime Minister's vision of the Ramayan Circuit.



CHALLENGES IN THE RELATIONSHIP

- 1 One of the biggest challenges in India's engagement with ASEAN lies in the assertive behavior of China.
- 2 Despite the Free Trade Agreement, India-ASEAN trade is only 2.6% of its total trade.
- 3 The ASEAN India Trade in Goods (AITIG) seeks to ensure trade facilitation and tries to ensure its relevance in the changing economic scenario.
- 4 It emphasises on maintaining peace, security and stability, unimpeded commerce and freedom of navigation.
- 5 There is substantial potential for development especially in the fields of economy, cultural and religious spheres.



CHALLENGES IN THE RELATIONSHIP

ECONOMIC

- 1 The pepper growth in Kerala and Karnataka have witnessed a steep fall in the price of pepper in the harvest season and low production going to climate vagaries.
- 2 This situation is accentuated because of cheaper pepper from Vietnam enters India through Sri Lanka, and a low duty structure under ASEAN and ISFTA (Indo-Sri Lanka Free Trade Agreement).
- 3 The average pepper price dropped from Rs. 720 per kg to Rs. 325 per kg



CHALLENGES IN THE RELATIONSHIP

- 1 Cross border connectivity has been one of the priority areas of India.
- 2 There is an ambitious Trilateral Highway project to link India, Myanmar and Thailand, extending to Laos and Vietnam. The multimodal transport corridor linking the Myanmar port of Sittwe with India's Mizoram through railway and road transport is under process.
- 3 Critics are of the opinion, that integrating North-east India with its Eastern neighbors would lead to dumping of cheap foreign goods and the region shown industries will be affected adversely.
- 4 Moreover, the region does not have its own industrial infrastructure to produce goods and will be reduced to nearly a transit region.
- 5 There is fear that the people of the region would feel alienated because of the integration.



MYANMAR'S CRUCIAL ROLE

- 1 Much of India's Look East policy involves Myanmar as it is the only Southeast Asian country which share the border with India and is seen as a gateway to Southeast Asia.
- 2 India is working with Myanmar on several industrial and infrastructure projects including the construction of highways, pipelines and ports.
- 3 Before India's Look East policy, China enjoyed a monopoly over Myanmar vast oil and natural gas reserves.
- 4 China continues to be Myanmar biggest weapon supplier; but after India's Look East policy, India has boosted its military cooperation with Myanmar.
- 5 India provides training to Myanmar armed forces and shares intelligence to combat insurgents in the North-east region.



SUCCESS OF INDIA ASEAN RELATIONSHIP

- 1 ASEAN was established to achieve limited objectives, but it managed to cover areas like climate change, disaster management and counter terrorism.
- 2 Trade among ASEAN has grown rapidly promoting economic growth and modernisation among its member countries.
- 3 Regional organisations like SAARC can draw lessons from the success of ASEAN.
- 4 The Look East policy is concerned with building ties with eastern neighbours and Act East policy makes India play a proactive role in the eastern neighbourhood.
- 5 India can capitalise on soft power and cultural links with Buddhism.



A FRIENDSHIP FOR FUTURE

- 1 With a population of more than 600 million and a nominal GDP of \$2.31 trillion, ASEAN (the Association of Southeast Asian Nations), has become a major economic force in Asia and a driver of global growth.
- 2 As the economies of neighbouring China and India decelerate, and as the U.S. shifts its focus to the East, the region is increasingly becoming a destination for investment.
- 3 In support, the ASEAN economic community has a goal of integrating the regional economies by 2015 to make the countries more competitive with the rest of the world.
- 4 ASEAN and India both for pragmatic and idealistic reasons have chosen to cooperate further and deepen their relations.
- 5 A better and deeper relationship between ASEAN and India is ultimately to the benefit of the greater East Asia and the Asia Pacific region.



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